

Table 27.2 General Statistics

Description	Bull Market
Number found	1,020
Reversal (R), continuation (C) occurrence	100% R
Average rise	43%
Standard & Poor's 500 change	13%
Days to ultimate high	216
How many change trend?	57%

Table 27.3 Cumulative Failure Rates

Maximum Price Rise (%)	Bull Market
5 (breakeven)	125 or 12%
10	131 or 25%
15	95 or 34%
20	83 or 43%
25	86 or 51%
30	59 or 57%
35	62 or 63%
50	120 or 75%
75	111 or 85%
Over 75	148 or 100%

The table shows how quickly the failure rates rise for a given price climb. Notice how failures double (from 12% to 25%) as the maximum price move rises from 5% to 10%.

The table gives you a sense of how difficult it can be to make money trading chart patterns.

Let's look at this table differently. Suppose you want to make 20% on your trade. How often will price fail to see that kind of return? Answer: 43% of the time. Thus, you have to let your winners ride and cut your losses short before the loss gets so big that brokers can't afford to close your account.